

Revenue Stamps in Michigan

Many states impose a transfer tax, also known as revenue stamps, on the sale of real property. Michigan counties also impose revenue stamps based on the sales price, and these are typically paid by the seller. You will hear both terms-revenue stamps and transfer tax-used interchangeably, because they have the same meaning. Here, we will refer to revenue stamps as a transfer tax.

The total transfer tax will vary, depending on:

- The sales price of the property
- The size of the county (for the county portion of the transfer tax)

The state transfer tax is typically \$4.50 per \$500 or any portion thereof (\$3.75 is imposed by the state, \$0.75 is imposed by most counties). For amounts of more than \$500 (e.g., \$100,501) an additional \$4.50 applies. You may find it simpler to calculate \$9 per \$1,000, but just remember that any portion of more than \$500 will be charged an additional tax:

- \$100,000 = \$9 per thousand
- \$100,001 = \$9 per thousand plus \$4.50 (for the \$1 additional portion of \$500)
- \$100,002 = \$9 per thousand, plus \$4.50 (for the \$2 additional portion of \$500)
- \$100,500 = \$9 per thousand, plus \$4.50 (for the additional \$500) Note that these three sales prices would result in the same transfer tax.
- \$100,501 = \$9 per thousand, plus \$9 (\$4.50 for the additional \$500, plus another \$4.50 for the additional portion of \$500)

Let's look at how this is calculated.

- \$100,000 = state transfer tax of \$3.75 + county transfer tax of \$.075 = \$4.50 per \$500, or $9 \times 100 = \$900$ (assumes a county with at least 2 million residents)
- \$100,001 = state transfer tax of \$3.75 + county transfer tax of \$0.75 = \$4.50 per \$500 or amounts thereof = $9 \times 100 = \$900 + \$4.50/\$500$ or portion thereof = \$904.50
- For counties of less than 2 million in population, the county transfer tax is reduced to \$0.55 per \$500, so the total transfer tax would be $3.75 + \$0.55 = \$4.30/\$500$, or $\$8.60/\$1,000$.

For simplicity's sake, you can estimate a transfer tax or revenue stamp of \$9/\$1,000. It's important to prepare your seller clients for this expense, because it will increase their costs to close.